FINANCIAL MODELLING AND VALUATION REPORT

Bajaj Auto Limited

Discounted cash flow and sum-of-the-parts valuation



PREPARED BY

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Valuation date: 11 November 2026

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BAJAJ AUTO LIMITED · VALUATION AS AT 11 NOVEMBER 2026

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1. Valuation Summary

Business overview

Bajaj Auto is one of India's largest makers of motorcycles and three-wheelers and the country's largest exporter of both. FY26 was a record year: consolidated revenue rose 23% to ₹629.1 billion and profit attributable to owners rose 47% to ₹107.4 billion [1], helped by a swing in the associate result from a ₹9.2 billion loss to a ₹5.6 billion gain; profit before tax excluding associate and exceptional items rose about 21%. The standalone business sold 5.12 million vehicles, 2.25 million of them exported (+21%). H1 FY27 benefited from strong export momentum, with Q2 export volumes up about 40% [15, 16, 4]. The group now has two further businesses: KTM, through a 74.9% holding in Bajaj Mobility AG consolidated since November 2025, and BACL, a captive vehicle lender with ₹188.2 billion of loans on the March 2026 balance sheet.

Valuation methodology

Because the three businesses have different economics, I valued them separately. The automotive business (standalone and KTM) is valued with an unlevered DCF over FY27–FY31 at a WACC of 11.59%, with 5.5% terminal growth and a 50% return on new invested capital. BACL is valued with an excess-return model at its own 13.24% cost of equity, so that its loan growth and borrowings do not distort the automotive cash flows. A sum-of-the-parts bridge then adds corporate net cash and the associate and deducts the minority interest in Bajaj Mobility AG at market value.

Valuation conclusion

On my base case, Bajaj Auto looks fully valued: the market price of ₹11,066 is about 22% above my intrinsic value of ₹9,082.

The base case gives an equity value of ₹2,495.9 billion, or ₹9,082 per share, 17.9% below the market price of ₹11,066 on 11 November 2026. The blended peer medians and most of the 52-week range sit above this value, although Hero MotoCorp, the closest listed peer, implies only about ₹8,040 per share, and even the combined Best-case stress scenario (₹10,617) is 4.1% below the market price.

Particulars	Value
Base-case intrinsic value per share	**₹9,082**
Market reference price (11 November 2026)	₹11,066
Implied downside	17.9%
Best-case / worst-case stress scenario	₹10,617 / ₹7,168
P/E comparables (25th–75th percentile)	₹10,468 – ₹12,951
EV/EBITDA comparables (25th–75th percentile)	₹9,826 – ₹15,625
52-week trading range	₹8,624 – ₹12,470
Market capitalisation (11 November 2026) / corporate net cash (31 March 2026)	₹3,041.0 billion / ₹199.6 billion

Key valuation risks

The value is most sensitive to the discount rate and to long-run growth, because terminal value is 79% of automotive enterprise value. I used Bajaj's own two-year beta of 0.90, the most favourable estimate in the model; the alternatives give ₹7,009–₹8,827. A 0.25-point change in terminal growth moves value between ₹8,844 and ₹9,342. The terminal value is discounted with the same mid-year timing as the FY31 cash flow, so explicit and terminal cash flows are treated consistently (Section 8).

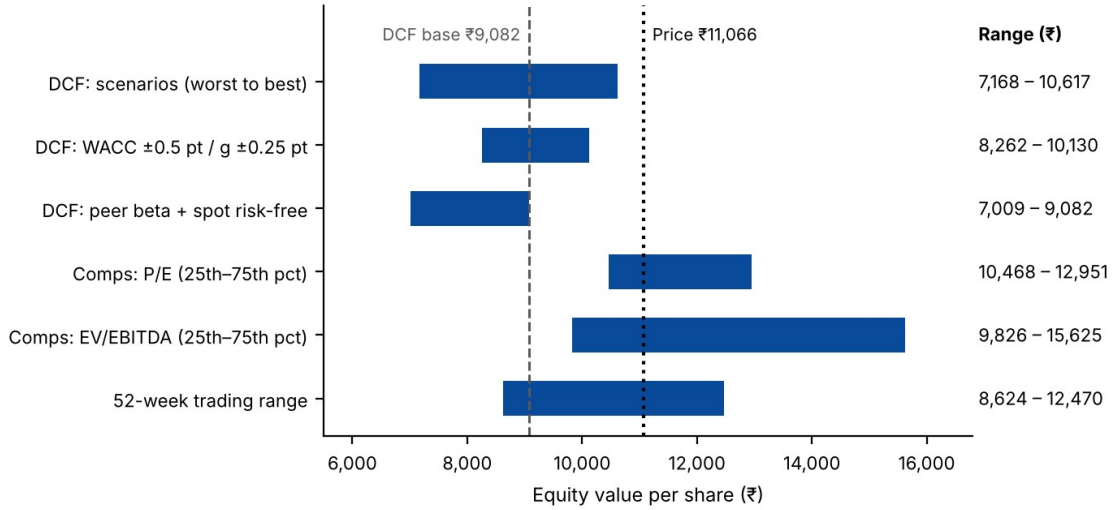
KTM's FY27 revenue is derived rather than reported, and its margin recovery to 10% by FY31 is my judgement: ±2 points of KTM margin moves value by about ±₹130. BACL's forecast return on equity (about 21%) is above its FY26 reported level, but BACL is only about 3% of total equity value, so ±0.5 points of credit cost moves value by only about ±₹15.

Key financials (₹ billion unless stated)

Year to 31 March	FY25A	FY26A	FY27F	FY28F	FY29F	FY30F	FY31F
Revenue from operations	509.9	629.1	915.8	1,031.7	1,153.0	1,275.3	1,399.4
Consolidated growth	13.6%	23.4%	45.6%	12.7%	11.8%	10.6%	9.7%
Standalone growth	11.9%	17.4%	25.8%	13.0%	12.0%	10.9%	10.0%
EBITDA	104.7	130.6	185.7	215.0	246.4	277.1	307.5
EBITDA margin	20.5%	20.8%	20.3%	20.8%	21.4%	21.7%	22.0%
Profit attributable to owners	73.2	107.4	127.6	147.1	171.3	196.0	221.6
EPS (₹)	262	385	460	535	623	713	806
Return on closing equity	20.8%	27.7%	30.6%	28.6%	27.4%	26.0%	24.7%

FY27 consolidated growth includes a full year of KTM. Forecast EPS and ROE include interest on cash that builds up under the model's 40% payout assumption; if Bajaj keeps distributing close to its FY26 level (about 91% of profit), they overstate what shareholders would see (Section 6).

Equity value per share by valuation method (₹)



2. Company and Industry

Bajaj Auto's brands include Pulsar, Platina, Dominar, Avenger, the CNG-powered Freedom, the Chetak electric scooter and the RE and Maxima three-wheelers. It also makes and distributes KTM and Husqvarna motorcycles, and Triumph motorcycles in partnership [1].

Business segments

Standalone. In FY26 the standalone business sold 5.12 million vehicles (+10%): 2.87 million in India (+3%) and 2.25 million exported (+21%). Standalone revenue was ₹587.3 billion with a 20.5% EBITDA margin [2, 1].

KTM / Bajaj Mobility. Bajaj Auto took control of Pierer Bajaj AG on 18 November 2025 and holds an effective 74.9% of the Vienna-listed Bajaj Mobility AG (formerly Pierer Mobility AG), which owns KTM [17]. KTM is recovering from its 2024–25 restructuring. In H1 2026 (January–June) its revenue was €701 million (+65%) and its EBITDA €38 million [4].

BACL. BACL is a captive lender that finances Bajaj vehicles. Three loan figures are published for 31 March 2026. BACL reports assets under management of about ₹184.5 billion [5]; Bajaj Auto's results release gives ₹188.4 billion [2]; and the consolidated balance sheet shows loans of ₹188.2 billion [1]. The model uses the balance-sheet figure, so that the loan book ties to the three statements. AUM was about ₹210 billion at 30 September 2026 [4]. In FY26 BACL earned ₹6.6 billion after tax, with CRAR of 19.54%, gross NPA of 1.85% and net NPA of 1.00% [5]. Its borrowings are rated by CARE Ratings [6].

Recent performance

FY26 was a record year: consolidated revenue rose 23% to ₹629.1 billion, and profit attributable to owners rose 47% to ₹107.4 billion [1]. In Q2 FY27, standalone revenue passed ₹200 billion (+34%) with an EBITDA margin of about 20.9%. Exports grew about 40% in volume, and a weaker rupee helped: the realised rate was ₹95.5 per US dollar against ₹87.1 a year earlier [15, 16, 4]. For H1 FY27, consolidated revenue from operations was ₹468.2 billion and standalone revenue ₹372.5 billion [3].

Industry and competitive position

Domestic two-wheeler demand has been subdued: Bajaj's domestic two-wheeler volume grew 2.6% in FY25 and 1.8% in FY26 [1, 2], while exports grew 13.3% and 17.6%. Within India, growth has come mainly from electric scooters and premium motorcycles. Chetak revenue exceeded ₹40 billion in FY26, and the EV business as a whole exceeded ₹80 billion, more than 20% of domestic sales [2].

In my assessment (not sourced), Bajaj competes with Hero MotoCorp in commuter motorcycles, with TVS Motor and Honda (which is not listed in India) in scooters and electric two-wheelers, and with Royal Enfield (Eicher Motors) at the premium end. Its distinctive strengths are 125cc-plus sport and premium-commuter motorcycles, three-wheelers and exports. This report does not cover market share or governance (board composition, promoter holding, related-party transactions).

Bajaj does not disclose EV profitability, so the model does not forecast EV economics separately; EVs sit within the standalone margin. If EVs earn lower margins while their share rises, the standalone margin assumption (Section 5.2) is at risk.

Strengths, weaknesses, opportunities and threats (my assessment, not sourced)

Strengths	Weaknesses
▪ Net cash and very high returns on capital (Section 8) ▪ Largest Indian two- and three-wheeler exporter ▪ Low working capital: supplier-funded inventory	▪ KTM still at low margins after restructuring ▪ EV profitability not disclosed ▪ Dependence on a few export regions and currencies
Opportunities	**Threats**
▪ EV and premium growth in India ▪ Restoring KTM margins using Bajaj's sourcing scale ▪ Captive financing to support vehicle sales	▪ Currency reversal or demand shocks in export markets ▪ EV competition ▪ Regulatory change: emission norms, EV subsidies, NBFC rules

Capital allocation

Outside BACL and KTM, Bajaj Auto has no significant borrowings, and it holds a large treasury portfolio: about ₹244.7 billion of investments at 31 March 2026, which earned roughly 7.8% in FY26. Out of FY26 earnings it declared a ₹150 per share final dividend (₹41.9 billion, paid July 2026). It also bought back 4.69 million shares at ₹12,000 (₹56.3 billion, completed September 2026) [2]. Together these come to ₹98.3 billion, about 91% of FY26 profit; both payments fall in FY27 and are deducted in the valuation bridge.

3. Historical Financial Performance

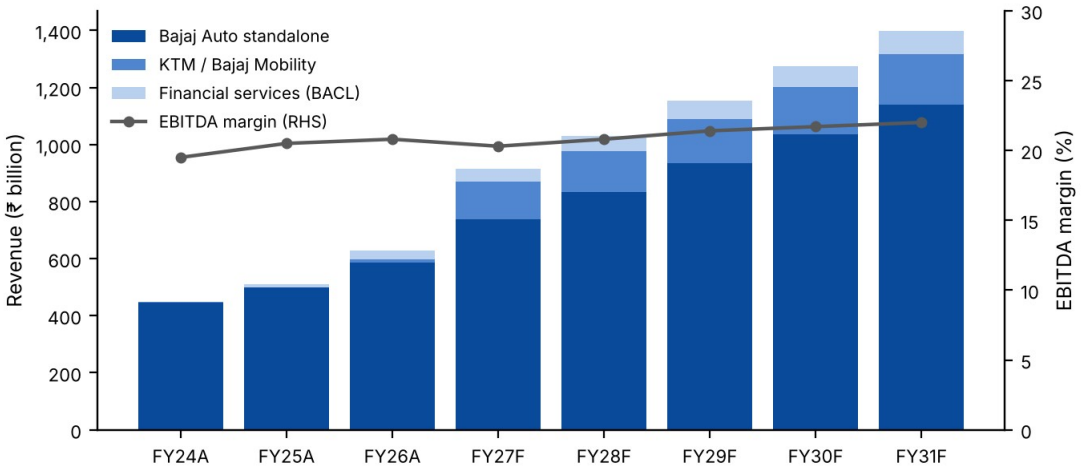
Historical figures are from the audited consolidated financial statements [1]. FY26 includes KTM only from November 2025, so FY26 to FY27 growth is not like-for-like. The key ratios are summarised below; the full statements appear in Section 6. Finance costs have risen with BACL's loan book, which is funded mainly by borrowings; the automotive business itself carries little debt.

Key ratios

	FY24A	FY25A	FY26A
EBITDA margin	19.5%	20.5%	20.8%
Net margin (profit to owners / revenue)	17.2%	14.4%	17.1%
Return on closing equity	26.6%	20.8%	27.7%
Inventory days (on material cost)	19	22	54
Receivable days (on automotive revenue)	17	16	21
Payable days (on material cost)	64	66	76
Automotive invested capital (₹ billion)	5.4	15.7	158.3
Dividend declared / EPS	29%	80%	39%

Bajaj ran on negative working capital until FY25: payables of about 65 days funded inventory and receivables, so the automotive business needed almost no invested capital. KTM's consolidation in FY26 changed that: intangible assets rose from ₹0.7 billion to ₹55.9 billion and PPE roughly doubled (Section 6), and inventory days rose to 54. The FY25 jump in loans and borrowings is BACL scaling up. Payout varies from year to year; FY26 distributions also included a buyback paid in FY27.

Revenue by business (₹ billion) and consolidated EBITDA margin



4. Valuation Approach and Data

Item	Basis adopted
Subject	Equity shares of Bajaj Auto Limited (consolidated group)
Valuation date	11 November 2026; NSE share price of ₹11,066 at 12:21 IST (intraday, 15-minute delayed) [7]
Latest audited balance sheet	31 March 2026 [1]
Latest interim results	H1 FY27, six months to 30 September 2026 [3]

Item	Basis adopted
Standard and premise of value	Intrinsic value per share; going concern
Primary method	DCF of the automotive business plus excess-return value of BACL, combined in a sum-of-the-parts bridge
Cross-checks	Trading comparables (P/E, EV/EBITDA) and the 52-week trading range
Units and number format	International system. Report: ₹ billion unless stated (₹1 billion = ₹1,000 million). The Excel model and the tables reproduced from it are in ₹ million. Per-share values in ₹.
Fiscal year	April to March (FY27 = year ending 31 March 2027)

Why the business is valued in parts

Bajaj Auto's consolidated accounts combine three businesses with different economics: the standalone motorcycle and three-wheeler business; KTM / Bajaj Mobility AG, the Austrian premium-motorcycle maker consolidated since November 2025; and BACL, a lender funded largely with debt. Discounting consolidated free cash flow would treat BACL's loan growth as capital expenditure and its borrowings as corporate debt, distorting both. The automotive businesses are therefore valued together with an unlevered DCF, and BACL on an equity basis. Corporate net cash, the associate and the minority interest in Bajaj Mobility AG are then added or deducted.

Valuation-date convention

Only the part of FY27 cash flow after 11 November 2026 (38.4% of the year) is discounted. Cash flows are dated at the middle of each period and discounted from the valuation date using XNPV; the terminal value uses the same discount period as the FY31 cash flow. Automotive cash generated between the audited balance sheet (31 March 2026) and the valuation date is estimated pro rata from FY27 unlevered free cash flow and added to net cash. The FY26 final dividend and the buyback paid in that window are deducted.

The roll-forward does not add treasury income earned over the same seven and a half months, worth about ₹35 per share after tax. The H1 FY27 balance sheet does not show cash and bank balances separately, so the audited March balance sheet is used for every bridge item.

Data dates

Input	Date	Effect on value
Bajaj Auto share price and 52-week range; peer market capitalisation; FY27E consensus; betas; India 10-year G-Sec yield	11-Nov-26	Valuation date
EUR/INR	10-Nov-26	Latest published daily rate; one trading day earlier, negligible
Bajaj Mobility AG share price	6-Nov-26	Used only for the minority interest in Bajaj Mobility AG (₹29.5 billion); a 10% price change moves value by about ₹11 per share
Listed NBFC price-to-book and ROE	9 to 11-Nov-26	Peer median ROE (17.3%) sets BACL's terminal fade; price-to-book is a cross-check only
India equity risk premium	Jan-26	January 2026 dataset [11]; the latest full update used
Peer debt and tax rates; Bajaj balance sheet	31-Mar-26	Latest audited balance sheets

5. Forecast Assumptions and Rationale

All assumptions are inputs on the DRIVERS sheet of the model. Each key driver has a Best, Base and Worst value, selected by one switch. The tables show the Base case for FY27 and FY31, with the FY27 Best and Worst values where they differ. Where an assumption is my judgement rather than anchored to data, the text says so.

5.1 Bajaj Auto standalone revenue

Driver	FY25A	FY26A	FY27F	FY31F	FY27 Best / Worst
Domestic two-wheeler volume growth	2.6%	1.8%	5.0%	4.0%	6.0% / 3.5%
Domestic commercial vehicle volume growth	3.3%	8.1%	10.0%	6.0%	11.5% / 8.0%
Export two-wheeler volume growth	13.3%	17.6%	30.0%	8.0%	34.0% / 25.5%
Export commercial vehicle volume growth	19.1%	49.2%	30.0%	8.0%	34.0% / 25.5%
Average realisation per vehicle growth	4.7%	6.7%	8.0%	3.5%	8.5% / 7.25%
Standalone revenue growth (output)	**11.9%**	**17.4%**	**25.8%**	**10.0%**	**–**

Revenue is built as volume times average realisation. FY27 export growth of 30% is set below the Q2 FY27 run-rate, when export two-wheelers rose about 43% and total exports about 40% [15, 16, 4], allowing for a stronger base in the second half. The fade to 8% by FY31 is my judgement; it takes growth below the 13–18% of FY25–FY26 as export markets mature.

Domestic growth of 5% in FY27, settling at 4–6%, is above the 1.8–2.6% of FY25–FY26. It assumes a recovery led by EVs and premium motorcycles, which is a judgement that leans towards the optimistic side.

The 8% rise in realisation in FY27 reflects the export mix, rupee depreciation and the EV and premium mix. After that, 3.5–4% a year is close to inflation. Bajaj does not disclose revenue by market or vehicle type, so one blended realisation is used. The model has no explicit exchange-rate path. The FY27 increase includes the weaker rupee (₹95.5 against ₹87.1 per US dollar in Q2), while the 3.5–4% growth from FY28 implicitly assumes no further large currency move. A stronger rupee would cut export realisations; that risk is not modelled separately.

The FY27 forecast implies second-half standalone revenue of ₹366.5 billion, 1.6% below the first half (₹372.5 billion). That is an average of about ₹183.2 billion a quarter, more than 8% below Q2's level of over ₹200 billion. The model applies full-year growth rates to FY26 rather than annualising H1, so it does not carry the Q2 run-rate into the second half. Setting H2 equal to H1 adds ₹67 per share, because the higher base compounds through the forecast.

5.2 Standalone operating costs

% of standalone revenue	FY26A	FY27F Base	FY31F Base
Material cost	70.1%	70.0%	69.7%
Employee cost	2.8%	2.75%	2.7%
SG&A	6.6%	6.4%	6.3%
Implied standalone EBITDA margin	**20.5%**	**20.9%**	**21.3%**

The FY27 margin of about 20.9% matches the reported Q2 FY27 standalone margin [15, 16]. The 40 basis-point expansion to FY31 reflects operating leverage on fixed costs and a richer export and premium mix. Material cost stays close to history because commodity costs are passed on with a lag. This is the most value-sensitive operating assumption: 1 point of margin is worth about ±₹410 per share.

5.3 KTM / Bajaj Mobility

No KTM forecast is published for Bajaj's fiscal year, so FY27 revenue is derived from reported H1 FY27 data and scaled to a full year.

H1 FY27 revenue bridge (₹ million)	Value
Consolidated revenue from operations [3]	468,150
Less: standalone revenue	(372,474)
Less: financing segment revenue	(22,890)
KTM / Bajaj Mobility and other subsidiaries (residual)	**72,786**
Cross-check: automotive segment revenue less standalone	76,966
Difference	4,180
Explained by other income allocated to the automotive segment (₹12,390 million less ₹8,204 million investment segment)	4,186
Unreconciled (rounding in reported figures)	(6)

The residual is close to Bajaj Mobility's H1 2026 revenue of €701 million (about ₹73.2 billion at ₹104.48 per euro) [4, 13]. The periods only partly overlap, though: Bajaj's H1 FY27 runs from April to September 2026, Bajaj Mobility's H1 2026 from January to June. The comparison is a reasonableness check, not a reconciliation.

FY27 revenue equals the H1 residual divided by the first half's share of annual revenue: 55% in the Base case (₹132.3 billion), 50% in the Best case and 60% in the Worst case. The 55% reflects the European riding season, which falls mostly in Bajaj's first half. Revenue then grows 8% a year in FY28–29 and 7% in FY30–31. Changing the H1 share to 50% or 60% moves value by only +₹37 or −₹31 per share.

KTM H1 FY27 EBITDA estimate (₹ million)	Value
Consolidated EBITDA	94,240
Less: standalone EBITDA	(77,670)
Less: financing (BACL) profit before interest, from the table below	(12,944)
Implied KTM EBITDA	**3,626**
Implied KTM EBITDA margin: H1 FY27 / FY27F model / implied H2	5.0% / 5.5% / 6.1%

Financing profit before interest (₹ million)	Value
Financing segment result (after funding cost)	6,290
Add: estimated BACL interest expense (model estimate)	6,654
Financing profit before interest	**12,944**

This EBITDA figure is an estimate. It depends on the BACL interest expense added back, because the financing segment result is stated after funding cost. Without the add-back, the implied KTM margin would be about 14%, inconsistent with Bajaj Mobility's reported H1 2026 margin of 5.4% [4]. The model assumes 5.5% for FY27, rising to 10% by FY31 through lower material (63.5% to 61%), employee (17% to 16%) and SG&A (14% to 13%) ratios.

The 10% target is my judgement of a partial recovery; it is not anchored to a published target. KTM is about 4.5% of FY27 and 6.8% of FY31 automotive EBITDA, and ±2 points of KTM margin moves value by about ±₹130 per share.

5.4 Bajaj Auto Credit (financial services)

Driver	FY27F Base	FY31F Base	FY27 Best / Worst	Basis
Loan book growth	25%	12%	27.5% / 20%	AUM +14% in H1 FY27 (₹184.5 to ₹210 billion); slows as book matures
Yield on average loans	21.0%	20.2%	21.5% / 20.5%	FY26 actual about 22.6%; assumes competitive easing
Cost of funds	7.5%	7.5%	7.25% / 7.75%	FY26 actual 7.49%
Operating costs (% of revenue)	28%	28%	–	FY26 actual about 28% [5]

Driver	FY27F Base	FY31F Base	FY27 Best / Worst	Basis
Credit cost (% of average loans)	3.6%	3.0%	3.4% / 3.9%	FY26 actual about 3.8% of average balance-sheet loans; eases as book seasons
Gross NPA	1.9%	1.8%	–	FY26 actual 1.85%
Equity / loans (capital proxy)	20%	20%	–	FY26 actual 20.0%

The FY27 BACL forecast is below its H1 run-rate: H1 financing segment revenue was ₹22.9 billion and profit before interest ₹12.9 billion, against ₹44.5 billion and ₹24.4 billion for the full year in the model, so the second half is implied lower although the book grows. The model applies its yield to average balance-sheet loans from the March 2026 base, while the reported segment includes other financing income. I treat this as a conservative feature; it does not affect the KTM estimate in Section 5.3, which uses the reported H1 segment figures. BACL's FY26 accounts show impairment of ₹5.4 billion (about 3.8% of average balance-sheet loans, which rose from ₹99.2 billion to ₹188.2 billion) and operating costs of about 28% of revenue [5]. The forecast splits the historical combined cost line (44.7% of revenue) into these two parts; on an all-in basis, costs fall to 42.9% of revenue by FY31.

5.5 Capital expenditure, working capital and depreciation

Driver	FY26A	FY27F	FY31F	Basis
Standalone capex (% of standalone revenue)	1.2%	1.7%	1.5%	History 1.2–1.8%; capacity and EV tooling
KTM capex (% of KTM revenue)	–	6.0%	6.0%	Judgement for premium OEM R&D; half capitalised as development
Inventory days (on material cost)	54	52	48	FY26 inflated by KTM consolidation; normalises
Receivable days (on automotive revenue)	21	20	20	Close to FY26
Payable days (on material cost)	76	74	74	Close to FY26
Depreciation (% of opening PPE and CWIP)	–	12%	12%	Close to historical rates
Amortisation (% of opening intangibles)	–	10%	10%	KTM brand and technology intangibles

5.6 Other assumptions

Driver	Assumption	Basis
Effective tax rate	26%	FY24–FY26 average 25.3%; statutory 25.17% plus non-deductible items
Yield on treasury assets	7.75% (FY27–28), then 7.5%	FY26 actual 7.8%; easing towards the risk-free rate plus 0.5%
Dividend payout	40% of profit	Below the FY26-linked distributions of about 91%; affects cash build-up, not the DCF
Buyback	4.69 million shares at ₹12,000 (FY27)	Tender offer completed September 2026 [2]
Minority share of profit	1% of profit	Simplification; the valuation uses the minority's market value
Other assets and liabilities	Held at FY26 levels	Items not driven by operations (tax balances, provisions, other financial items)

6. Financial Statements: Historical and Projected

The model is a fully linked three-statement model. The income statement, cash flow statement and balance sheet below are taken directly from the 3 STATEMENT sheet of the model, in ₹ million (divide by 1,000 for ₹ billion); historical years (FY24–FY26) are audited figures and forecasts are formulas. In every year the balance sheet balances and closing cash ties to the balance sheet (Appendix A, checks 3 and 4).

Cash builds up quickly after FY27 because the model assumes a 40% payout, well below the Company's recent distributions. Interest on that cash roughly doubles other income, from ₹21.3 billion in FY27 to ₹42.8 billion in FY31, while treasury investments stay flat. This lifts forecast EPS by about ₹60 (about 7%) and ROE in FY31. It does not affect the DCF, which values operating cash flows and counts cash only at the valuation date.

The cash flow statement groups working-capital items differently from the DCF. In FY27, receivables, inventories and payables use ₹1,860 million and other current liabilities provide ₹4,990 million; both sit in the first working-capital line (+₹3,130 million). The ₹8,070 million rise in other current assets sits in the second line with BACL loans. The DCF combines all three (−₹4,939 million), so the totals reconcile even though the individual lines differ.

Income Statement

All figures in INR Millions unless stated *Model Running: Base Case Drivers*	2024A	2025A	2026A	2027F	2028F	2029F	2030F	2031F
Revenue from Operations	448,704	509,946	629,050	915,774	1,031,720	1,152,950	1,275,287	1,399,425
Cost of Materials	(318,932)	(352,592)	(424,099)	(601,310)	(672,964)	(748,465)	(824,404)	(902,840)
Gross Profit	**129,772**	**157,354**	**204,951**	**314,464**	**358,756**	**404,485**	**450,884**	**496,585**
Employee Cost	(16,270)	(19,258)	(24,614)	(42,819)	(46,722)	(50,719)	(54,922)	(59,074)
SG&A	(25,886)	(33,418)	(49,726)	(85,897)	(97,035)	(107,357)	(118,864)	(129,992)
EBITDA	**87,616**	**104,677**	**130,611**	**185,749**	**214,998**	**246,409**	**277,098**	**307,519**
Depreciation and Amortisation	(3,648)	(4,142)	(6,447)	(15,003)	(15,696)	(16,467)	(17,411)	(18,384)
EBIT	**83,968**	**100,535**	**124,164**	**170,745**	**199,303**	**229,942**	**259,686**	**289,135**
Other Income	14,360	14,744	21,822	21,347	22,184	27,473	34,574	42,846
Finance Costs	(604)	(3,889)	(11,686)	(17,897)	(20,721)	(23,657)	(26,681)	(29,560)
Share of Profit / (Loss) of Associate	2,676	(9,155)	5,607					
Exceptional Items	–	–	(392)					
Profit Before Tax	**100,400**	**102,235**	**139,515**	**174,195**	**200,766**	**233,758**	**267,579**	**302,420**
Tax Expense	(23,318)	(28,988)	(33,770)	(45,291)	(52,199)	(60,777)	(69,571)	(78,629)
Net Income (incl. Non-controlling Interests)	**77,082**	**73,247**	**105,745**	**128,905**	**148,567**	**172,981**	**198,009**	**223,791**
Less: Non-controlling Interests	–	–	1,697	(1,289)	(1,486)	(1,730)	(1,980)	(2,238)
Net Income Attributable to Owners	**77,082**	**73,247**	**107,442**	**127,616**	**147,081**	**171,251**	**196,028**	**221,553**
Revenue Growth		*13.6%*	*23.4%*	*45.6%*	*12.7%*	*11.8%*	*10.6%*	*9.7%*
EBITDA Margin	*19.5%*	*20.5%*	*20.8%*	*20.3%*	*20.8%*	*21.4%*	*21.7%*	*22.0%*
Net Income Margin (to owners)	*17.2%*	*14.4%*	*17.1%*	*13.9%*	*14.3%*	*14.9%*	*15.4%*	*15.8%*

In FY26, profit including minority (₹105,745 million) is below profit attributable to owners (₹107,442 million) because the minority's share of Bajaj Mobility AG was a loss of ₹1,697 million.

Cash Flow Statement

All figures in INR Millions unless stated *Model Running: Base Case Drivers*	2024A	2025A	2026A	2027F	2028F	2029F	2030F	2031F
CASH FROM OPERATING								
Net Income (incl. Non-controlling Interests)	77,082	73,247	105,745	128,905	148,567	172,981	198,009	223,791
Depreciation and Amortisation	3,648	4,142	6,447	15,003	15,696	16,467	17,411	18,384
Cash From Accounts Receivable	(3,080)	(516)	13,464	(13,008)	(5,840)	(6,119)	(6,174)	(6,310)
Cash From Inventory	(1,252)	(3,886)	6,390	(22,721)	(8,365)	(8,499)	(8,144)	(8,056)
Cash From Loans and Other Operating Assets	(12,110)	(98,482)	(103,709)	(55,127)	(51,323)	(55,291)	(54,485)	(50,586)
Cash From Payables and Other Liabilities	17,861	12,287	13,888	38,857	16,659	17,540	17,649	18,205
Other Operating Items (incl. tax and associate)	(16,633)	(848)	(16,260)					
Subtotal	65,515	(14,056)	25,966	91,909	115,393	137,079	164,267	195,428
CASH FROM INVESTING								
Capital Expenditure	(7,228)	(8,738)	(7,223)	(20,503)	(21,935)	(24,225)	(25,466)	(27,713)
Net Investments, Loans and Other	3,791	(1,824)	(63,116)					
Subtotal	(3,437)	(10,563)	(70,339)	(20,503)	(21,935)	(24,225)	(25,466)	(27,713)
CASH FROM FINANCING								
Change in Borrowings	17,846	74,342	111,450	37,648	37,648	40,660	39,982	36,784
Share Buyback	(40,172)	(9,318)	–	(56,328)	–	–	–	–
Issue of Share Capital	842	293	934					
Dividends	(39,602)	(22,353)	(58,546)	(41,925)	(51,046)	(58,833)	(68,500)	(78,411)
Interest Paid, Leases and Other	(521)	(663)	(3,044)					
Subtotal	(61,607)	42,301	50,795	(60,605)	(13,398)	(18,173)	(28,518)	(41,628)
CASH BALANCE								
Beginning of the Year	2,416	5,605	23,315	29,900	40,701	120,761	215,443	325,726
Increase / (Decrease)	471	17,682	6,422	10,801	80,060	94,682	110,283	126,087
Effect of Exchange Rates and Consolidation	2,718	29	163					
End of the Year	**5,605**	**23,315**	**29,900**	**40,701**	**120,761**	**215,443**	**325,726**	**451,813**

Dividends are paid in the year after the profit they relate to. The FY27 outflow (₹41,925 million) is the FY26 final dividend of ₹150 per share paid in July 2026; the 40% payout assumption applies from FY28 onwards. The row "Effect of exchange rates and consolidation" reconciles reported cash flows to balance-sheet cash; in FY24 it is ₹2,718 million, larger than that year's net change, and it affects no forecast or valuation figure.

Balance Sheet

All figures in INR Millions unless stated *Model Running: Base Case Drivers*	2024A	2025A	2026A	2027F	2028F	2029F	2030F	2031F
ASSETS								
Cash and Cash Equivalents	5,605	23,315	29,900	40,701	120,761	215,443	325,726	451,813
Other Bank Balances	14,768	5,161	819	819	819	819	819	819
Investments – Current	43,901	59,020	78,117	78,117	78,117	78,117	78,117	78,117
Trade Receivables	20,755	21,252	34,734	47,743	53,583	59,701	65,875	72,185
Inventories	16,888	20,774	62,945	85,666	94,031	102,530	110,673	118,730
Loans – Current	2,079	34,652	79,362	99,202	119,043	140,470	161,541	180,926
Other Financial Assets – Current	7,517	21,677	27,110	27,110	27,110	27,110	27,110	27,110
Other Current Assets	6,958	8,608	26,785	34,852	39,115	43,582	48,089	52,695
Assets Held for Sale	–	–	747	747	747	747	747	747
Total Current Assets	118,470	194,459	340,518	414,956	533,324	668,518	818,696	983,141
Property, Plant and Equipment	31,475	35,887	77,273	84,388	91,765	100,202	108,544	117,786
Capital Work-in-Progress	282	292	1,203	1,203	1,203	1,203	1,203	1,203
Intangible Assets (incl. under development)	279	717	55,861	54,245	53,108	52,428	52,140	52,228
Investment Property	489	478	483	483	483	483	483	483
Investment in Associate	48,204	36,883	1,692	1,692	1,692	1,692	1,692	1,692
Investments – Non-current	175,246	193,236	166,613	166,613	166,613	166,613	166,613	166,613
Loans – Non-current	5,770	64,510	108,879	136,098	163,318	192,715	221,622	248,217
Other Financial Assets – Non-current	2,980	1,248	3,641	3,641	3,641	3,641	3,641	3,641
Deferred Tax Assets	138	887	3,090	3,090	3,090	3,090	3,090	3,090
Income Tax Assets (net)	9,100	12,519	12,302	12,302	12,302	12,302	12,302	12,302
Other Non-current Assets	1,224	871	675	675	675	675	675	675
Total Non-current Assets	275,187	347,527	431,712	464,431	497,890	535,045	572,006	607,930
Total Assets	**393,657**	**541,986**	**772,230**	**879,387**	**1,031,214**	**1,203,563**	**1,390,702**	**1,591,071**
LIABILITIES								
Trade Payables	55,808	63,727	88,040	121,909	136,437	151,744	167,139	183,042
Other Financial Liabilities	5,970	7,436	13,440	13,440	13,440	13,440	13,440	13,440
Lease Liabilities – Current	–	–	1,902	1,902	1,902	1,902	1,902	1,902
Other Current Liabilities	15,391	8,136	12,438	17,426	19,558	21,791	24,044	26,348
Provisions and Current Tax Liabilities	2,299	5,001	11,145	11,145	11,145	11,145	11,145	11,145
Borrowings – Current	11,526	31,538	66,417	77,792	89,168	101,454	113,535	124,649
Total Current Liabilities	90,994	115,838	193,382	243,614	271,649	301,475	331,205	360,525
Borrowings – Non-current	6,333	60,827	153,389	179,662	205,934	234,308	262,209	287,878
Lease Liabilities – Non-current	–	–	4,691	4,691	4,691	4,691	4,691	4,691
Deferred Tax Liabilities (net)	5,069	11,230	13,043	13,043	13,043	13,043	13,043	13,043
Other Non-current Liabilities	1,636	2,203	5,521	5,521	5,521	5,521	5,521	5,521
Total Non-current Liabilities	13,039	74,261	176,644	202,916	229,189	257,563	285,464	311,133
Total Liabilities	**104,033**	**190,099**	**370,026**	**446,531**	**500,838**	**559,038**	**616,669**	**671,658**
EQUITY								
Equity Share Capital	2,792	2,793	2,795	2,748	2,748	2,748	2,748	2,748
Other Equity	286,832	349,095	385,525	414,934	510,969	623,388	750,916	894,058
Non-controlling Interests	0	0	13,884	15,173	16,659	18,389	20,369	22,607
Total Equity	289,624	351,888	402,204	432,856	530,377	644,525	774,033	919,413
Total Liabilities & Equity	**393,657**	**541,986**	**772,230**	**879,387**	**1,031,214**	**1,203,563**	**1,390,702**	**1,591,071**

Items not driven by operations (other financial assets, tax balances, investment property, the associate, provisions, lease and other liabilities) are held at their audited 31 March 2026 values. Treasury investments are also held flat at ₹244,730 million, so surplus cash accumulates in cash and cash equivalents. BACL's loans and borrowings are the main drivers of balance-sheet growth, and equity grows with retained profit after the 40% payout.

7. Cost of Capital

Beta

The model holds three regression betas for Bajaj Auto and a bottom-up beta from five listed peers, all as at 11 November 2026 [9]. The base case averages the two two-year betas, weekly 1.02 and monthly 0.79, to get 0.90. The four-year monthly beta is 1.20. Averaging all three own betas gives 1.00, a WACC of 12.09% and ₹8,459 per share. The peer median, relevered at Bajaj's capital structure, is 1.27, which gives a WACC of 13.46% and ₹7,159.

The peer evidence points to a higher beta than the one I use. Three of the five peers have four-year betas above 1.2: Hero MotoCorp (1.26), Bajaj's closest listed commuter-motorcycle peer; TVS Motor (1.47); and Mahindra & Mahindra (1.72). Maruti (1.03) and Eicher (0.49) are lower. Ashok Leyland, which is in the multiples set, is not in the model's beta set.

I use Bajaj's own two-year betas because they measure the Company as it now is, with net cash, a large export mix and KTM consolidated. The four-year beta still includes the 2022–23 volatility. Averaging a weekly and a monthly estimate reduces the noise of a single regression; it is a pragmatic choice, not a standard rule. The beta is a raw regression beta: a Blume adjustment (0.67 × 0.90 + 0.33) would give about 0.94 and lower value by about ₹220. Of the variants in the model, the base choice gives the highest value. Own beta also reflects the company's net cash, about 7% of market value, which lowers the measured equity beta; the beta of the operating business alone would be somewhat higher, roughly 0.97, so using 0.90 for operating cash flows understates risk.

Risk-free rate and equity risk premium

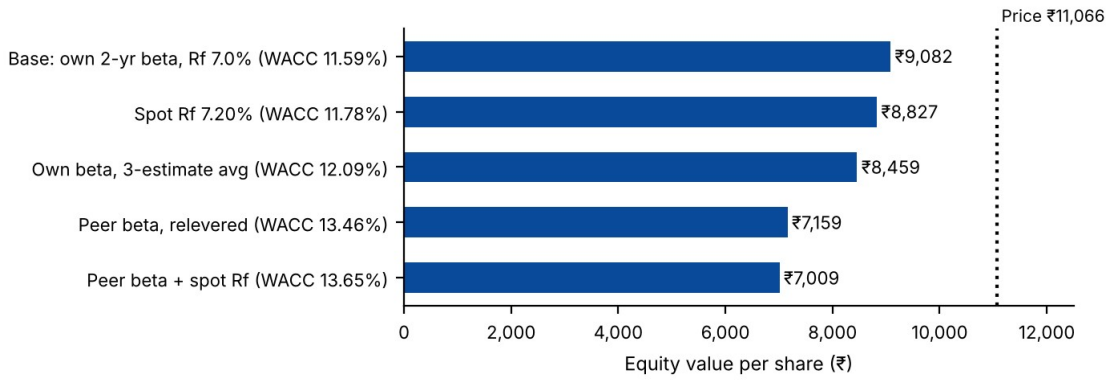
Risk-free rate. The model labels the 7.0% rate a normalised 10-year average yield; because I have not sourced that average, I treat it as my own normalised assumption for a long-run rupee risk-free rate, 20 basis points below the spot 10-year yield of 7.20% [10]. The cash flows run to perpetuity, and one day's yield is a noisy guide to long-run rates. Using the spot rate instead gives ₹8,827, so this choice adds ₹255 per share.

Equity risk premium. My base method takes Damodaran's total India ERP of 7.08% and deducts the 1.87% sovereign default spread, giving 5.2% [11]. I chose it because the rupee G-Sec yield already contains the default spread, and I wanted to avoid counting it twice. The deduction is not exact: Damodaran's equity country premium is larger than the default spread, because it is scaled for equity-market volatility.

The common alternative deducts the spread from the risk-free rate and keeps the full ERP: (7.00% − 1.87%) + 0.9045 × 7.08% = 11.53%, using the unrounded beta of 0.9045 that is shown as 0.90 elsewhere. That cost of equity is 0.17 points lower than the base 11.70% and would add about ₹225 per share. The direction depends on beta: at the peer beta of 1.27, the alternative gives a cost of equity about 0.52 points higher.

Overall, the 11.70% cost of equity sits at the lower end of what market inputs support: every alternative in the model (spot risk-free rate, a three-estimate own beta, the peer beta) gives a higher rate. I have not lowered any input to move the value towards the market price.

Equity value per share under the cost-of-capital variants in the model (₹)



One discount rate for all automotive cash flows

The same 11.59% WACC is applied to the Indian standalone business and to KTM. A European premium-motorcycle maker in recovery arguably deserves a higher rate. The model forecasts one combined automotive cash flow, so it does not apply a separate KTM rate. KTM is about 6.8% of FY31 automotive EBITDA, so the effect is limited: a KTM rate 3 points higher would lower value by roughly ₹155–185 per share (Appendix C), similar in size to the KTM margin sensitivity. BACL carries its own cost of equity (Section 9).

Weighted Average Cost of Capital

All figures in INR Millions unless stated

Name (market data 11-Nov-26; debt excl. FS borrowings, 31-Mar-2	Region	Debt	Equity	Average Tax Rate	Debt / Equity	Debt / Capital	Levered Beta	Unlevered Beta
Hero MotoCorp Ltd.	India	7,790	1,068,860	25.2%	0.7%	0.7%	1.26	1.25
TVS Motor Company Ltd.	India	37,330	2,173,520	32.8%	1.7%	1.7%	1.47	1.45
Eicher Motors Ltd.	India	5,140	2,094,330	22.4%	0.2%	0.2%	0.49	0.49
Maruti Suzuki India Ltd.	India	1,020	4,128,670	22.0%	0.0%	0.0%	1.03	1.03
Mahindra & Mahindra Ltd.	India	16,530	4,091,960	23.4%	0.4%	0.4%	1.72	1.71
			Average	**25.2%**	**0.6%**	**0.6%**	**1.19**	**1.19**
			Median	23.4%	0.4%	0.4%	1.26	1.25

BAJAJ AUTO OWN BETA (VS NIFTY 50, AS AT 11-NOV-26)

4-year monthly		1.20
2-year weekly		1.02
2-year monthly		0.79
	2-Year Average (used)	**0.90**

RISK PREMIUM FOR EQUITY

Market Risk Premium (India, over G-Sec; Jan-26)	5.2%
Bajaj Auto Own Beta (2-year average)	0.90
Beta Used	0.90
Beta-Adjusted Equity Risk Premium (MRP x Beta)	4.7%

SCENARIO RISK PREMIUM (added to cost of equity; weaker cases carry more execution risk)

Best Case	(0.3%)
Base Case	–
Worst Case	0.5%
Scenario Risk Premium (selected case)	**–**

COST OF EQUITY

Spot India 10Y G-Sec Yield (11-Nov-26)	7.2%
Risk-Free Rate (normalised, 10-year average)	7.0%
Beta-Adjusted Equity Risk Premium	4.7%
Country Risk Premium (0%: in INR G-Sec yield)	–
Scenario Risk Premium (selected case)	–
Cost of Equity	**11.7%**

CAPITAL STRUCTURE

		Current	Target
Corporate Debt (excl. loan book funding)	59,648	1.9%	1.9%
Market Capitalization	3,041,003	98.1%	98.1%
Total Capitalization	**3,100,651**	**100.0%**	**100.0%**
Debt / Equity		2.0%	2.0%

COST OF DEBT

Pre-Tax Cost of Debt	7.5%
Tax Rate	25.2%
After-Tax Cost of Debt	**5.6%**

WEIGHTED AVERAGE COST OF CAPITAL

	Weight	Cost
Debt Capital	1.9%	5.6%
Equity Capital	98.1%	11.7%
Weighted Average Cost of Capital		**11.6%**

CROSS-CHECK: BOTTOM-UP BETA (PEER MEDIAN, RELEVERE

Peer Median Unlevered Beta	1.25
Relevered at Bajaj Auto Target Debt / Equity	1.27
Cost of Equity (bottom-up beta)	13.6%
WACC (bottom-up beta)	13.5%
Value per Share: Peer Beta (INR)	**7,159**
Difference vs Model (own-beta) Value	(21.2%)

WACC at Spot Risk-Free Rate (7.20%)	11.8%
Value per Share at Spot Rf (INR)	**8,827**

WACC: Peer Beta + Spot Rf	13.7%
Value per Share: Combined (INR)	**7,009**

WACC: Own Beta, Average of All Three Estimates	12.1%
Value per Share: Three-Estimate Beta (INR)	**8,459**

In the cost-of-capital table, the Best-case scenario premium shown as (0.3%) is −0.25%, rounded for display. The WACC tax shield uses the statutory tax rate of 25.17%, while the operating forecast and the BACL stress test use the 26% effective tax assumption, which also reflects non-deductible items.

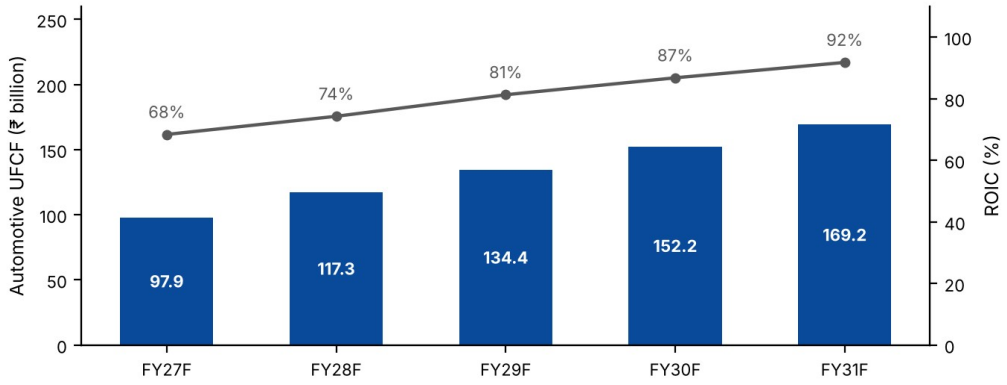
8. Discounted Cash Flow Valuation: Automotive Business

Unlevered free cash flow is calculated for the automotive businesses only (standalone plus KTM). BACL's profit before interest is removed from EBITDA, and capex and working capital are driven by automotive revenue. Depreciation and amortisation in the DCF is the consolidated figure from the income statement, used as a proxy for the automotive business, because BACL's depreciation is small and not forecast separately. Two independent build-ups, one from EBITDA and one from net income, agree in every year (table below).

Unlevered Free Cash Flow Schedule (Automotive)

All figures in INR Millions unless stated *Model Running: Base Case Drivers*	2024A	2025A	2026A	2027F	2028F	2029F	2030F	2031F
EBITDA METHOD								
Automotive EBITDA				161,353	185,036	210,609	235,592	260,632
Taxes on Automotive EBIT				(38,051)	(44,029)	(50,477)	(56,727)	(62,985)
Capital Expenditure				(20,503)	(21,935)	(24,225)	(25,466)	(27,713)
Change in Working Capital				(4,939)	(1,809)	(1,544)	(1,175)	(768)
Unlevered Free Cash Flow				**97,860**	**117,264**	**134,364**	**152,224**	**169,167**
NET INCOME METHOD								
Net Income (before non-controlling interests)				128,905	148,567	172,981	198,009	223,791
Depreciation and Amortisation				15,003	15,696	16,467	17,411	18,384
Less: Other Income				(21,347)	(22,184)	(27,473)	(34,574)	(42,846)
Add: Finance Costs				17,897	20,721	23,657	26,681	29,560
Less: Associate and Exceptional Items				–	–	–	–	–
Less: Financial Services Profit before Interest				(24,396)	(29,962)	(35,800)	(41,505)	(46,886)
Tax Difference				7,240	8,171	10,300	12,844	15,645
Capital Expenditure				(20,503)	(21,935)	(24,225)	(25,466)	(27,713)
Change in Working Capital				(4,939)	(1,809)	(1,544)	(1,175)	(768)
Unlevered Free Cash Flow				**97,860**	**117,264**	**134,364**	**152,224**	**169,167**

Automotive unlevered free cash flow (₹ billion) and ROIC



ROIC and invested capital

Invested capital is net fixed assets (PPE, CWIP and intangibles, including the acquired KTM intangibles) plus net working capital; it excludes treasury assets and BACL. Bajaj's standalone business needs very little capital: invested capital was ₹5.4 billion in FY24 and ₹15.7 billion in FY25, because suppliers fund most inventory. Consolidating KTM raised it to ₹158.3 billion in FY26.

Invested Capital Schedule (Automotive)

All figures in INR Millions unless stated	2024A	2025A	2026A	2027F	2028F	2029F	2030F	2031F
Model Running: Base Case Drivers								
NET WORKING CAPITAL								
Trade Receivables	20,755	21,252	34,734	47,743	53,583	59,701	65,875	72,185
Inventories	16,888	20,774	62,945	85,666	94,031	102,530	110,673	118,730
Other Current Assets	6,958	8,608	26,785	34,852	39,115	43,582	48,089	52,695
Trade Payables	55,808	63,727	88,040	121,909	136,437	151,744	167,139	183,042
Other Current Liabilities	15,391	8,136	12,438	17,426	19,558	21,791	24,044	26,348
Net Working Capital	**(26,598)**	**(21,229)**	**23,986**	**28,925**	**30,734**	**32,278**	**33,453**	**34,221**
Cash From Working Capital Items				(4,939)	(1,809)	(1,544)	(1,175)	(768)
FIXED ASSETS								
Net Fixed Assets (PPE, CWIP and intangibles)	32,036	36,896	134,337	139,837	146,076	153,834	161,888	171,218
Capital Expenditure	(7,228)	(8,738)	(7,223)	(20,503)	(21,935)	(24,225)	(25,466)	(27,713)
Invested Capital (fixed assets and working capital)	**5,437**	**15,667**	**158,324**	**168,762**	**176,811**	**186,112**	**195,341**	**205,439**
ROIC (NOPAT / opening invested capital, incl. KTM intangibles)				*68.4%*	*74.3%*	*81.3%*	*86.8%*	*91.8%*

From FY27 to FY31, opening invested capital rises 23% (₹37.0 billion) while NOPAT rises 66% (₹71.0 billion), because net reinvestment (capex above depreciation plus working capital) is only about 6–10% of NOPAT, even though capex runs at 1.4–1.5 times depreciation. The implied incremental return on the capital added over the forecast is about 190%. The terminal assumption of a 50% RONIC is a sharp step down from that; I chose it deliberately because returns of 190% on new capital are unlikely to last, but readers should see the size of the change.

Terminal value

Discounted Cash Flow Schedule: Perpetuity Method

All figures in INR Millions unless stated		2024A	2025A	2026A	2027F	2028F	2029F	2030F	2031F
Model Running: Base Case Drivers									
Terminal Growth	5.5%								
WACC	11.6%								
Mid-Year Convention	1								
Return on New Invested Capital	50.0%								
EXPLICIT FORECAST (VALUATION DATE TO FY31)									
Fiscal Year End					2027-03-31	2028-03-31	2029-03-31	2030-03-31	2031-03-31
Share of Year after Valuation Date					38.4%	100.0%	100.0%	100.0%	100.0%
Unlevered Free Cash Flow after Valuation Date				**–**	**37,535**	**117,264**	**134,364**	**152,224**	**169,167**
Cash Flow Date (mid-period if mid-year convention)				2026-11-11	2027-01-20	2027-09-30	2028-09-30	2029-09-30	2030-09-30
Discount Period (years from valuation date)				0.00	0.19	0.88	1.89	2.89	3.89
Automotive UFCF, 31-Mar-26 to Valuation Date (pro-rata estimate)					*60,325*				
TERMINAL VALUE (END OF FY31)									
NOPAT: Automotive (FY31)									179,264
Terminal Reinvestment Rate (growth / RONIC)									11.0%
Terminal-Year Cash Flow (FY32)									168,320
Terminal Value (Gordon growth)									**2,765,589**
Terminal Discount Period (mid-year consistent: same as FY31 cash flow)									3.89
Implied Terminal EV / EBITDA (FY32)									*10.1x*

ENTERPRISE VALUE (AUTOMOTIVE)			
NPV of Cash Flows to FY31 (XNPV from valuation	473,805	PV of Cash Flows	20.8%
PV of Terminal Value	1,805,899	PV of Terminal Value	79.2%
Enterprise Value at Valuation Date	**2,279,704**	**Total**	**100.0%**

RONIC of 50% is about four times WACC but well below the forecast ROIC, allowing for competition, EV investment and KTM's higher capital needs to erode returns over time. The RONIC sensitivity runs from ₹8,270 (25%) to ₹9,353 (75%).

Terminal growth of 5.5% is a judgement. It is below the model's FY31 revenue growth (9.7%) and FY31 export volume growth (8%), and is meant to reflect a maturing business that still benefits from rising two-wheeler penetration, exports and premiumisation. The Best and Worst cases use 5.75% and 5.25%.

FY31 is not a full steady state. Revenue still grows 9.7% and margins and ROIC are still rising, then growth steps down to 5.5% with no fade period. The step-down lowers the terminal value relative to a gradual fade, while carrying the FY31 peak margin into perpetuity raises it; the model does not separate the two effects.

The Gordon-growth terminal value (₹2,765.6 billion at the end of FY31, an implied 10.1x FY32 EBITDA) is discounted over 3.89 years, the same mid-year period as the FY31 cash flow. With cash flows assumed to arrive mid-year, the terminal value should be discounted on the same basis; discounting it from the end of FY31 would add half a year of discounting and understate value. Its present value, ₹1,805.9 billion, is 79% of automotive enterprise value.

Sensitivity analysis

Sensitivity Analysis

All figures in INR Millions unless stated
Model Running: Base Case Drivers

Terminal Growth Rate	5.5%
WACC	11.6%
Enterprise Value	2,279,704
Net Claims / (Assets)	(216,181)

Valuation Date		11-Nov-26
Cost of Equity		11.7%
Shares Outstanding	*(Millions)*	274.81
Current Price	*(INR/sh)*	11,066.00

ENTERPRISE VALUE

WACC \ Terminal Growth Rate	5.00%	5.25%	5.50%	5.75%	6.00%
10.6%	2,534,191	2,623,424	2,721,369	2,829,378	2,949,096
11.1%	2,328,130	2,401,208	2,480,774	2,567,740	2,663,196
11.6%	2,153,360	2,214,062	**2,279,704**	2,350,919	2,428,455
12.1%	2,003,257	2,054,291	2,109,156	2,168,305	2,232,266
12.6%	1,872,944	1,916,298	1,962,670	2,012,393	2,065,848

EQUITY VALUE PER SHARE (INR)

WACC \ Terminal Growth Rate	5.00%	5.25%	5.50%	5.75%	6.00%
10.6%	10,008	10,333	10,690	11,083	11,518
11.1%	9,259	9,524	9,814	10,130	10,478
11.6%	8,623	8,843	**9,082**	9,341	9,624
12.1%	8,076	8,262	8,462	8,677	8,910
12.6%	7,602	7,760	7,929	8,110	8,304

EQUITY VALUE

WACC \ Terminal Growth Rate	5.00%	5.25%	5.50%	5.75%	6.00%
10.6%	2,750,372	2,839,605	2,937,550	3,045,559	3,165,277
11.1%	2,544,311	2,617,389	2,696,955	2,783,921	2,879,377
11.6%	2,369,541	2,430,243	**2,495,885**	2,567,100	2,644,636
12.1%	2,219,438	2,270,472	2,325,337	2,384,486	2,448,447
12.6%	2,089,125	2,132,479	2,178,851	2,228,574	2,282,029

PREMIUM (DISCOUNT) TO CURRENT PRICE

WACC \ Terminal Growth Rate	5.00%	5.25%	5.50%	5.75%	6.00%
10.6%	(9.6%)	(6.6%)	(3.4%)	0.1%	4.1%
11.1%	(16.3%)	(13.9%)	(11.3%)	(8.5%)	(5.3%)
11.6%	(22.1%)	(20.1%)	**(17.9%)**	(15.6%)	(13.0%)
12.1%	(27.0%)	(25.3%)	(23.5%)	(21.6%)	(19.5%)
12.6%	(31.3%)	(29.9%)	(28.4%)	(26.7%)	(25.0%)

EQUITY VALUE PER SHARE (INR): RETURN ON NEW INVESTED CAPITAL x TERMINAL GROWTH

RONIC \ Terminal Growth Rate	4.50%	5.00%	5.50%	6.00%	6.50%
25%	7,662	7,944	8,270	8,654	9,111
30%	7,850	8,170	8,541	8,977	9,498
40%	8,086	8,453	8,879	9,381	9,981
50%	8,227	8,623	**9,082**	9,624	10,271
75%	8,416	8,849	9,353	9,947	10,657

In the sensitivity tables, "Net Claims / (Assets)" of (216,181) means that the bridge from enterprise value to equity value is a net addition of ₹216.2 billion, because net cash, BACL and the associate exceed the minority interest.

Equity value per share (₹): one operating input changed at a time in every forecast year (steps in Appendix B)

Base-case input changed	Change	Low case	High case	Range
Standalone material cost (EBITDA margin −1 / +1 pt)	+1 / −1 pt of revenue	8,675	9,490	815
Average realisation growth	−1 / +1 pt a year	8,727	9,452	725
Export volume growth (two-wheelers and CVs)	−2 / +2 pts a year	8,741	9,448	706
Domestic two-wheeler volume growth	−2 / +2 pts a year	8,818	9,366	548
KTM material cost (KTM margin −2 / +2 pts)	+2 / −2 pts of revenue	8,954	9,211	257
KTM FY27 revenue base (H1 share of year)	60% / 50%	9,052	9,119	68
BACL credit cost	+0.5 / −0.5 pt of loans	9,067	9,097	30

The operating-driver shocks chosen here (±1–2 points) generally produce smaller valuation changes than the selected ±0.5-point WACC shock, which moves value from ₹8,462 to ₹9,814 (a range of ₹1,352). The comparison depends on the shock sizes: a ±2-point change in standalone material cost would move value by roughly ±₹815 (a range of about ₹1,630), wider than the WACC range. BACL's credit-cost sensitivity has a limited impact on group value because BACL represents only about 3% of total equity value.

9. Financial Services Valuation (BACL)

BACL is valued with an excess-return model: book equity plus the present value of profits above the cost of equity. This captures loan growth and returns directly, without treating the loan book as operating capital. BACL is charged its own cost of equity of 13.24%, rather than the group's 11.70%. Its beta of 1.20 is a separate model input labelled as a listed-NBFC beta; the individual NBFC betas behind it are not recorded in the model, so it is effectively a judgement for a lender with about five times leverage. It equals Bajaj's own four-year beta only by coincidence and is not derived from it.

Financial Services (Bajaj Auto Credit): Excess Return Valuation

All figures in INR Millions unless stated *Model Running: Base Case Drivers*	2024A	2025A	2026A	2027F	2028F	2029F	2030F	2031F
Loan Book			188,240	235,300	282,360	333,185	383,163	429,142
Borrowings Funding the Loan Book			166,750	204,398	242,046	282,706	322,689	359,472
Book Equity (proxy: target equity / loans)			37,710	47,060	56,472	66,637	76,633	85,828
Equity / Loans (capital ratio)			*20.0%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*
Interest Income on Loans				44,472	53,837	63,401	73,068	82,043
Less: Interest Expense (cost of funds x average borrowings)				(13,918)	(16,742)	(19,678)	(22,702)	(25,581)
Net Interest Income				**30,554**	**37,095**	**43,723**	**50,365**	**56,462**
Less: Operating Costs				(12,452)	(15,074)	(17,752)	(20,459)	(22,972)
Pre-Provision Operating Profit				**18,102**	**22,021**	**25,971**	**29,906**	**33,490**
Less: Credit Cost (loan-loss provisions)				(7,624)	(8,800)	(9,849)	(11,103)	(12,185)
Profit Before Tax				10,478	13,221	16,122	18,803	21,305
Less: Tax				(2,724)	(3,437)	(4,192)	(4,889)	(5,539)
Net Income: Financial Services				**7,754**	**9,783**	**11,930**	**13,914**	**15,766**
Return on Opening Equity				*20.6%*	*20.8%*	*21.1%*	*20.9%*	*20.6%*
Net Interest Margin				*14.4%*	*14.3%*	*14.2%*	*14.1%*	*13.9%*
Cost-to-Income				*40.8%*	*40.6%*	*40.6%*	*40.6%*	*40.7%*
Credit Cost (on average loans)				*3.6%*	*3.4%*	*3.2%*	*3.1%*	*3.0%*
REGULATORY CAPITAL AND ASSET QUALITY								
Risk-Weighted Assets (proxy: FY26 RWA / loans)			227,031	283,788	340,546	401,844	462,121	517,576
Tier I Capital (proxy: book equity)			37,710	47,060	56,472	66,637	76,633	85,828
Tier II Capital (proxy: FY26 % of RWA)			6,652	8,315	9,978	11,774	13,540	15,165
CRAR			**19.5%**	**19.5%**	**19.5%**	**19.5%**	**19.5%**	**19.5%**
Tier I Ratio			16.6%	16.6%	16.6%	16.6%	16.6%	16.6%
Gross NPA (Stage 3, % of loans)			1.9%	1.9%	1.9%	1.9%	1.8%	1.8%
Stage 3 Loans			3,482	4,471	5,365	6,164	6,897	7,725
Stage 3 Provisions (coverage held at FY26)			1,627	2,088	2,506	2,879	3,222	3,608
Net NPA (% of net loans)			1.0%	1.0%	1.0%	1.0%	1.0%	1.0%
Implied Write-offs (credit cost less increase in provisions)				7,162	8,383	9,475	10,761	11,798
Stress: One-off Credit Loss after Tax				(5,224)	(6,268)	(7,397)	(8,506)	(9,527)
Stressed CRAR (after one-off loss)				**17.7%**	**17.7%**	**17.7%**	**17.7%**	**17.7%**
Credit Loss that Breaches Minimum CRAR (% of loans)				*7.4%*	*7.4%*	*7.4%*	*7.4%*	*7.4%*
Check: CRAR, Tier I or Stressed CRAR Below Minimum, or Negative Write-offs				*0*	*0*	*0*	*0*	*0*
Less: Equity Charge (cost of equity x opening equity)				(4,993)	(6,231)	(7,477)	(8,823)	(10,146)
Excess Return				**2,761**	**3,552**	**4,453**	**5,091**	**5,620**
Discount Period (years from 31-Mar-26)				1	2	3	4	5

Book Equity, FY26	37,710
PV of Excess Returns (FY27-FY31)	14,389
PV of Terminal Excess Return (peer ROE)	24,178
Financial Services Equity Value, 31-Mar-26	**76,277**
Implied Price / Book (FY26 book)	2.0x
Implied Price / Book (FY27F book)	1.6x
Roll Forward to Valuation Date (cost of equity; no	1.0797
Financial Services Equity Value at Valuation Dat	**82,353**

BACL return on equity

The forecast ROE of about 21% assumes that BACL's FY26 economics broadly continue [5]: a yield of about 22.6% (forecast 21.0% falling to 20.2%), cost of funds of 7.5%, operating costs of 28% of revenue, credit costs of 3.8% (forecast 3.6% falling to 3.0%) and equity of 20% of loans.

BACL's book equity is set at 20% of loans. The gap between that and retained profit is an implied capital injection from Bajaj Auto in FY27 (about ₹1.6 billion) and implied dividends to it in later years (up to about ₹6.6 billion in FY31); these flows stay within the group. The forecast ROE is above BACL's reported FY26 return of 17.6% on closing equity (₹6.6 billion on ₹37.7 billion). Consolidated loans rose about 90% in FY26 (from ₹99.2 billion to ₹188.2 billion) [1], so the return on average equity was higher, but the forecast ROE is not a conservative assumption. The terminal value fades ROE to the listed-NBFC median of 17.3% to allow for competition. Because 17.3% stays above BACL's 13.24% cost of equity, BACL keeps an excess return in perpetuity; that terminal excess return is worth ₹24.2 billion at 31 March 2026, about ₹95 per share after rolling forward to the valuation date.

BACL price-to-book

Listed NBFC (9 to 11-Nov-26)	Price / book	ROE
Bajaj Finance	5.38x	18.2%
Cholamandalam Investment and Finance	4.45x	19.4%
Shriram Finance	2.07x	16.4%
Mahindra & Mahindra Financial Services	1.41x	12.3%
Peer median	**3.26x**	**17.3%**
BACL (model: FY26 book, FY27F ROE)	2.02x	20.6%

BACL's implied 2.02x book is well below peers with similar ROE [14], mainly because of its 13.24% cost of equity, the fade to peer ROE and its short record as a scaled lender. So the ROE assumption is generous while the resulting multiple is modest. BACL is about 3% of total equity value, and each 0.5x change in price-to-book moves value by about ₹74 per share.

Regulatory capital and stress test

Risk-weighted assets are estimated using the FY26 ratio of 1.21 times loans, and Tier II capital at 2.9% of risk-weighted assets. This keeps CRAR at the reported 19.5% (Tier I 16.6%), above the RBI minimums of 15% and 10%. A one-off additional credit loss of 3% of loans, deducted from capital after the 26% tax effect, would reduce CRAR to 17.7%. A gross (pre-tax) loss of about 7.4% of loans would be needed to breach the 15% minimum. These figures are estimates, because BACL does not disclose forecast risk weights.

10. Sum-of-the-Parts Equity Bridge

₹ billion	Value	Basis
Automotive enterprise value (DCF)	2,279.7	Section 8
Add: corporate net cash, 31-Mar-2026	199.6	Table below
Add: automotive cash flow, 31-Mar-26 to 11-Nov-26	60.3	Pro-rata estimate (61.6% of FY27 UFCF); excludes treasury income
Less: FY26 dividend and buyback paid	(98.3)	₹41.9 billion dividend (Jul-26) + ₹56.3 billion buyback (Sep-26)
Add: BACL equity value	82.4	Section 9
Add: investment in associate	1.7	Book value (immaterial)
Less: minority interest in Bajaj Mobility AG	(29.5)	25.1% at market: €33.30 × 33.8 million shares × ₹104.48/€ [12, 13]
Equity value at valuation date	**2,495.9**	
Shares outstanding (million)	274.8	279.5 less 4.7 bought back
Equity value per share (₹)	**9,082**	

Corporate net cash, including KTM's debt (₹ billion, 31 March 2026)

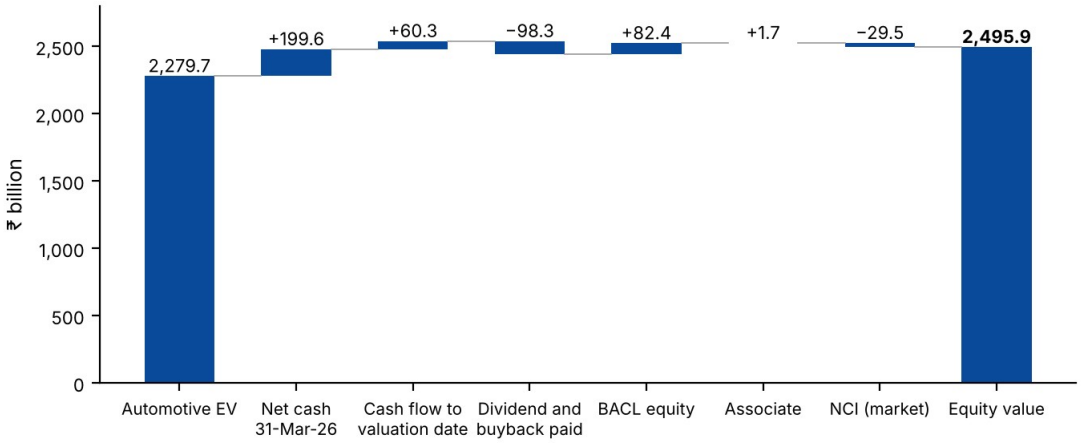
Item	Value
Total borrowings and lease liabilities (consolidated)	226.4
Less: BACL borrowings (valued within BACL equity)	(166.8)
Corporate borrowings and leases	**59.6**
of which borrowings outside financial services (mainly KTM / Bajaj Mobility)	53.1
of which lease liabilities	6.6
Less: cash and bank balances	(30.7)
Less: treasury investments	(244.7)
Remove: BACL cash and net assets included above (reduces net cash)	16.2
Corporate net cash	**199.6**

Corporate net cash = cash, bank balances and treasury investments − corporate borrowings and leases − BACL cash and net assets included in those balances. A negative net-debt figure in the model is shown here as positive net cash.

KTM's borrowings (about ₹53.1 billion) are deducted in full, because the DCF includes 100% of KTM's cash flows. BACL's borrowings (₹166.8 billion) and its own cash and net assets (₹16.2 billion) are excluded so that they are not counted twice; the lender is captured through its equity value.

The minority interest is deducted at the market value of the listed Bajaj Mobility shares. Because KTM is not valued separately in the model, this cannot be checked directly against KTM's value inside the DCF. As a rough estimate, allocating automotive EV to KTM by its FY31 share of automotive EBITDA (6.8%) and deducting its debt gives a DCF-consistent minority of about ₹25.5 billion, below the ₹29.5 billion market value. If so, the bridge understates value slightly, by roughly ₹15 per share. Using book value (₹13.9 billion) would add about ₹57.

From automotive enterprise value to equity value (₹ billion)



11. Relative Valuation

Six listed Indian peers are used: three two-wheeler makers and three broader automotive companies. Multiples use market capitalisation and FY27E consensus estimates as at 11 November 2026 [7, 8].

For the P/E-based hybrid sum-of-the-parts cross-check, the multiple is applied to consensus standalone FY27E profit (₹118.3 billion) after removing after-tax treasury income. KTM is added at FY27F EBITDA times the broader-auto EV/EBITDA multiple, together with the same net cash, BACL, associate and minority items as the DCF. The EV/EBITDA method applies the multiple to FY27F automotive EBITDA (₹161.4 billion, excluding financial services).

Trading Comparables (market data and FY27E consensus as at 11-Nov-26)

All figures in INR Millions unless stated

Company	Tier	Market Cap	Net Cash / (Net Debt)	Enterprise Value	Net Income FY27E	EBITDA FY27E	P / E FY27E	EV / EBITDA FY27E
Hero MotoCorp Ltd.	2W	1,068,860	166,079	902,781	58,369	73,807	18.3x	12.2x
TVS Motor Company Ltd.	2W	2,173,520	(14,411)	2,187,931	46,065	73,640	47.2x	29.7x
Eicher Motors Ltd.	2W	2,094,330	172,627	1,921,703	63,989	68,715	32.7x	28.0x
Maruti Suzuki India Ltd.	Auto	4,128,670	802,910	3,325,760	148,755	219,015	27.8x	15.2x
Mahindra & Mahindra Ltd.	Auto	4,091,960	298,642	3,793,318	165,637	220,709	24.7x	17.2x
Ashok Leyland Ltd.	Auto	1,022,110	63,327	958,783	40,558	59,832	25.2x	16.0x

	P / E	EV / EBITDA
All Peers: 25th Percentile	**24.8x**	**15.4x**
All Peers: Median	**26.5x**	**16.6x**
All Peers: 75th Percentile	**31.5x**	**25.3x**
Two-Wheeler Peers: Median	32.7x	28.0x
Broader Auto Peers: Median	25.2x	16.0x

APPLIED MULTIPLE RANGE (peer 25th percentile / median / 75th percentile)	P / E	EV / EBITDA
Low	24.8x	15.4x
Mid	26.5x	16.6x
High	31.5x	25.3x

BAJAJ AUTO	Net Income	EBITDA	P / E	EV / EBITDA
FY27E Consensus (standalone basis, 11-Nov-26)	118,259	145,657	25.7x	19.4x

The model's own comparables row puts Bajaj at 25.7x consensus FY27E standalone profit. That multiple is not like-for-like: it divides consolidated market value, which includes treasury assets, BACL and KTM, by standalone profit. Price over the model's consolidated FY27 EPS of ₹460 (24.1x) matches the bases better, though treasury income in EPS still flatters it. Neither figure is used in the valuation.

Both cross-checks add the same bridge as the DCF, including ₹60.3 billion of automotive cash flow estimated from 31 March to the valuation date. In the DCF this item is required: only the FY27 cash flow after 11 November is discounted, so cash generated before that date must be carried through the balance sheet. In the two multiple-based checks it plays the same role, a balance-sheet roll-forward that brings Bajaj's 31 March net cash to the valuation date, but it also overlaps with the earnings base, because both the P/E and the EV/EBITDA multiples are applied to full-year FY27 figures that include April to November. The overlap is the same in both methods, about ₹220 per share. Removing it gives about ₹10,864 on the median P/E and ₹10,317 on the median EV/EBITDA, both still above the DCF value.

The peer multiples are also widely dispersed. Applied the same way, Hero MotoCorp's 18.3x implies about ₹8,040 per share and Eicher's 32.7x about ₹13,410, so the blended medians hide a range that spans the DCF value. The comparables carry little weight in my conclusion. The closest listed peers are Hero MotoCorp in commuter motorcycles and Eicher in premium motorcycles; Honda, a major competitor, is not listed in India. The two-wheeler group has only three companies, and TVS and Eicher trade on premium-growth multiples. Maruti, Mahindra & Mahindra and Ashok Leyland are a market benchmark rather than true comparables.

The interquartile range is wide (₹9,826–₹15,625 on EV/EBITDA). The comparables show only that ₹11,066 is within the range the market pays for Indian automotive companies; they do not pin down a value. No DCF input was set by reference to them.

Forecast versus consensus

Consensus is available only for the standalone business. Model standalone EBITDA for FY27 (₹154.1 billion) is 5.8% above consensus (₹145.7 billion) [8], reflecting the model's 30% export growth and 8% realisation growth for FY27. H1 FY27 standalone EBITDA is already reported at ₹77.7 billion, so consensus implies a second half about 12.5% below the first, against about 1.6% in the model. Some estimates may predate the H1 results, so part of the gap may reflect stale consensus rather than a more optimistic model. The number of analysts in the consensus was not recorded. This is the only like-for-like comparison available and says nothing about later years.

Implied Valuation of Bajaj Auto (applied to consensus FY27E)

	Low	Mid	High
PRICE / EARNINGS			
Applied P / E Multiple	24.8x	26.5x	31.5x
Consensus Net Income FY27E (standalone)	118,259	118,259	118,259
Less: After-Tax Treasury Income (model FY27F)	(15,797)	(15,797)	(15,797)
Core Standalone Net Income	102,462	102,462	102,462
Standalone Operating Equity Value	2,543,987	2,712,990	3,226,104
Add: KTM / Bajaj Mobility EV (FY27F EBITDA x auto peer median)	116,637	116,637	116,637
Add: Net Cash + FS Equity + Associate - NCI (as DCF)	216,181	216,181	216,181
Implied Equity Value (sum of the parts)	**2,876,804**	**3,045,808**	**3,558,921**
Shares Outstanding at Valuation Date (Millions)	274.81	274.81	274.81
Implied Value per Share (INR)	**10,468**	**11,083**	**12,951**

P / E VALUATION CASES (consensus FY27E net income)	P / E	Value / Share	vs Price
1. Core Two-Wheeler Peers (median)	32.7x	13,414	21.2%
2. Broader Automotive Peers (median)	25.2x	10,607	(4.1%)
3. Selected: All-Peer Median (blended)	**26.5x**	**11,083**	**0.2%**

ENTERPRISE VALUE / EBITDA (AUTOMOTIVE ONLY, LIKE-FOR-LIKE WITH PEERS)			
Applied EV / EBITDA Multiple	15.4x	16.6x	25.3x
Automotive EBITDA FY27F (standalone + KTM, excl. financial services)	161,353	161,353	161,353
Implied Enterprise Value	2,484,016	2,679,386	4,077,615
Add: Net Cash + FS Equity + Associate - NCI	216,181	216,181	216,181
Implied Equity Value	2,700,197	2,895,566	4,293,796
Shares Outstanding at Valuation Date (Millions)	274.81	274.81	274.81
Implied Value per Share (INR)	**9,826**	**10,537**	**15,625**

EV / EBITDA VALUATION CASES (automotive EBITDA FY27F)	EV / EBITDA	Value / Share	vs Price
1. Core Two-Wheeler Peers (median)	28.0x	17,207	55.5%
2. Broader Automotive Peers (median)	16.0x	10,196	(7.9%)
3. Selected: All-Peer Median (blended)	**16.6x**	**10,537**	**(4.8%)**

12. Scenario Analysis

	Best	Base	Worst
Cost of equity / WACC	11.45% / 11.34%	11.70% / 11.59%	12.20% / 12.08%
Terminal growth	5.75%	5.50%	5.25%
KTM FY27 revenue, ₹ billion (H1 share of year)	145.6 (50%)	132.3 (55%)	121.3 (60%)
Automotive enterprise value (₹ billion)	2,678.5	2,279.7	1,782.2
Equity value (₹ billion)	2,917.5	2,495.9	1,969.8
Equity value per share (₹)	**10,617**	**9,082**	**7,168**
Premium / (discount) to ₹11,066	(4.1%)	(17.9%)	(35.2%)

The Best and Worst cases are combined stress scenarios, not forecasts of likely outcomes. In each, every operating driver moves together with the discount rate and terminal growth: volumes, realisation, costs, capex, working capital, BACL growth, yield, cost of funds and credit cost. In practice some of these would offset each other. The scenarios carry no probability weights.

The Worst case also adds 0.5 points to the cost of equity on top of weaker cash flows, which partly double-counts risk. On base-case cash flows, a 0.5-point higher WACC alone removes about ₹620 per share, so a cash-flow-only worst case would be roughly ₹600 higher than ₹7,168. The Best case's −0.25-point premium has the opposite, smaller effect.

Even the Best case, which combines favourable operating drivers with a lower WACC (11.34%) and higher terminal growth (5.75%), gives ₹10,617, 4.1% below the market price.

13. Valuation Conclusion and Key Risks

My base-case intrinsic value for Bajaj Auto is ₹9,082 per share, 17.9% below the market price of ₹11,066. On my assumptions the shares look fully valued: the market price is above the base case and above my Best-case stress scenario. Terminal value is 79% of automotive enterprise value, so the result depends mainly on the discount rate and long-run growth. In the WACC and terminal-growth table, only the cells with a 10.59% WACC and 5.75% or higher growth exceed the market price.

Modelling judgements

The table lists each modelling choice I could quantify and what its alternative would do to value. "Model" marks a model run; the other figures are my estimates from model outputs (Appendix C).

Choice in the base case	Alternative	Effect on ₹9,082
Own beta 0.90	Peer beta 1.27 with spot risk-free rate	−₹2,073 (model)
Own beta 0.90	Average of all three own betas (1.00)	−₹623 (model)
Normalised risk-free rate 7.00%	Spot G-Sec yield 7.20%	−₹255 (model)
Raw regression beta	Blume-adjusted beta (0.94)	−₹220
One WACC for standalone and KTM	KTM discount rate 3 points higher	−₹155 to −₹185
BACL ROE fades to 17.3%, above its cost of equity	No excess return in perpetuity	−₹95
Default spread deducted from the ERP	Deducted from the risk-free rate (holds at beta 0.90)	+₹225
FY27 H2 standalone revenue 1.6% below H1	H2 equal to H1	+₹67 (model)
Treasury income to 11-Nov not in the bridge	Add 7.4 months of after-tax treasury income	+₹35
Minority interest in Bajaj Mobility AG at market value	DCF-consistent estimate	+₹15
Minority interest in Bajaj Mobility AG at market value	Book value	+₹57

Excluding the two alternative-beta cases and the book-value minority, the remaining items add up to roughly −₹400, but several of them (the spot risk-free rate, the Blume adjustment and the ERP treatment) work through the same WACC and interact, so they cannot simply be added. The largest uncertainty is the level of beta, and that risk is one-sided: every alternative beta in the model lowers value.

Key risks

- Cost of capital: beta and the risk-free rate are the largest single source of uncertainty (Section 7).
- Terminal assumptions: long-run growth and RONIC dominate the result, and FY31 is not yet a steady state (Section 8).
- Export demand and currency: a reversal in Africa and Latin America, or a stronger rupee, would hit the fastest-growing part of revenue.
- KTM execution and European demand; BACL asset quality in a downturn.
- EV margins, which are not disclosed, and regulatory change: emission norms, EV subsidies and NBFC rules.

14. Limitations and Disclosures

- Historical financial information is taken from Bajaj Auto's audited annual reports and published results. It has not been audited or independently verified as part of this work.

- Several market inputs come from secondary aggregators (Screener, topstockresearch.com, MarketScreener, Trading Economics, FxFeed, StockAnalysis) and one news report (Börse Global, for the Bajaj Mobility AG price). Company figures were checked against filings where possible; betas and consensus could not be checked against a primary source.
- The share price is an intraday price (12:21 IST on 11 November 2026, 15-minute delayed), not the closing price.
- KTM and BACL H1 FY27 figures are derived from consolidated, standalone and segment disclosures and are estimates. The KTM cross-check compares periods that only partly overlap.
- Corporate net cash, BACL equity, KTM debt and the balance-sheet share count are based on the audited 31 March 2026 balance sheet, about seven and a half months before the valuation date, rolled forward with a pro-rata cash flow estimate that excludes treasury income. The H1 FY27 balance sheet was not used because it does not separate cash and bank balances.
- The model uses one WACC for the standalone business and KTM and moves all scenario drivers together. FY31 is not a steady state: revenue still grows 9.7% with margins and ROIC rising, and growth then drops to 5.5% with no fade period. BACL's ROE fades to 17.3%, above its 13.24% cost of equity, so it keeps an excess return in perpetuity. Each effect is quantified in the report.
- This report does not cover governance, market share or EV profitability. The valuation is as at 11 November 2026 and is not updated for later events.

Disclosures

Item	Disclosure
Purpose and registration	Academic estimate of intrinsic value, not investment advice. The author is not registered with SEBI as a research analyst.
Information used	Public information only, as listed in the References; market data to 11 November 2026 and company data to the H1 FY27 results. No broker research and no access to company management.
Model	Bajaj Auto DCF MODEL.xlsx, submitted with this report. Inputs, assumptions and results come from the model; Appendix C lists the estimates derived from its outputs.
Preparation	Prepared by Pranay Deep Singh, who set the scope, chose the data sources, assumptions and judgements, and takes responsibility for all figures. AI tools were used to edit the writing (grammar and clarity), to explain some modelling concepts, and to assist in building and checking the spreadsheet.
Affiliation	Not affiliated with or endorsed by Bajaj Auto Limited. The views are my own. Cover image: Bajaj Auto motorcycle range, supplied by the author and used for illustration in a non-commercial academic report; its original source and licence were not recorded.

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Appendix A: Model Structure and Integrity Checks

The valuation is supported by the Excel model Bajaj Auto DCF MODEL.xlsx, submitted with this report. Hard-coded inputs sit in four places only: operating and valuation assumptions and market inputs on the DRIVERS sheet; audited FY24–FY26 financials on the 3 STATEMENT sheet (no forecast year contains a typed number); peer market data, consensus estimates, NBFC data and the 52-week range on the COMPS sheet; and, on the Outputs sheet, the driver switch and the axis values of the sensitivity tables. The Best, Base and Worst results on the Outputs sheet come from an Excel data table that re-runs the model with the switch set to 1, 2 and 3; the file also stores the last calculated values. Checks 9–11 compare the row for the currently selected scenario with the live model, so with the switch on Base they verify the Base row only; the Best and Worst rows are verified when the switch is set to those cases, not simultaneously. The DCF and Cover sheets contain formulas only. All thirteen checks show Pass in the submitted version.

Sheet	Contents
Cover	Contents, driver switch and model check summary
Outputs	Valuation dashboard, scenario table, sensitivity data tables and valuation range chart
DRIVERS	Forecast inputs (Best / Base / Worst), WACC build, net cash, bridge inputs and KTM reconciliations
3 STATEMENT	Income statement, cash flow statement, balance sheet and supporting schedules
DCF	Automotive UFCF (two methods), invested capital and ROIC, DCF, BACL excess-return valuation and the bridge
COMPS	Trading comparables, model-versus-consensus reconciliation, NBFC cross-check and 52-week range

#	Integrity check (Cover sheet; all years)	Result
1	Driver switch set to 1, 2 or 3	Pass
2	Terminal growth below WACC	Pass
3	Balance sheet balances	Pass
4	Cash flow statement closing cash equals balance-sheet cash and cash equivalents	Pass
5	Two UFCF methods agree	Pass
6	DCF closed-form check agrees with XNPV	Pass
7	Segment EBITDA build reconciles to income statement	Pass
8	Revenue build reconciles to income statement	Pass
9	Scenario table enterprise value matches live model (selected scenario)	Pass
10	Scenario table equity value matches live model (selected scenario)	Pass
11	Scenario table value per share matches live model (selected scenario)	Pass
12	Sum-of-the-parts bridge reconciles	Pass
13	BACL capital above regulatory minimum (including stress case)	Pass

Appendix B: Reproducing the Sensitivities

The WACC, terminal-growth and RONIC tables on the Outputs sheet are formula tables that recalculate the DCF for each combination of inputs, so they update automatically. The single-driver results in Section 8 can be reproduced in the delivered model with the driver switch on Base (2). For each test, change the Base-case row of that driver on the DRIVERS sheet for every forecast year (FY27–FY31), read the equity value per share at the foot of the sum-of-the-parts bridge on the DCF sheet, and then undo the change. The KTM test changes only the Base-case H1 share of KTM revenue, and the second-half test changes only the FY27 realisation growth.

Test (Base-case row on DRIVERS)	Change	Result (₹)
Export volume growth (two-wheelers and commercial vehicles)	±2 pts each year	9,448 / 8,741
Domestic two-wheeler growth	±2 pts each year	9,366 / 8,818
Average realisation growth	±1 pt each year	9,452 / 8,727
Standalone material cost (% of revenue)	−1 / +1 pt each year	9,490 / 8,675
KTM material cost (% of KTM revenue)	−2 / +2 pts each year	9,211 / 8,954
BACL credit cost (% of loans)	−0.5 / +0.5 pt each year	9,097 / 9,067
KTM H1 share of annual revenue (Base 55%)	50% / 60%	9,119 / 9,052
FY27 realisation growth set so that H2 revenue equals H1	8.0% → 8.87%	9,149

Appendix C: Estimates Derived from Model Outputs

These are my own estimates from model outputs, not model results. WACC changes are converted to value at the central slope of the model's WACC table (₹1,352 per point). The net figure in the last row excludes the two alternative-beta model cases and the book-value minority.

Estimate	Value	Method
Standard local-currency ERP treatment	+₹225	Cost of equity 11.53% vs 11.70%; WACC −0.166 pt × ₹1,352. Sign reverses for betas above 1 (at 1.27, cost of equity +0.52 pt)
Blume-adjusted beta (0.94)	−₹220	Cost of equity +0.164 pt; WACC +0.161 pt × ₹1,352
Treasury income, 31-Mar to 11-Nov	+₹35	FY27 other income × 61.6% × (1 − 26%), divided by 274.8 million shares
Separate, higher KTM discount rate (+3 pts)	−₹155 to −₹185	KTM share of automotive EV by FY31 EBITDA (6.8%, about ₹154.6 billion) revalued at (WACC − g) of 9.09% instead of 6.09%; upper end assumes perpetuity-like cash flows
BACL excess return in perpetuity	−₹95 if removed	PV of terminal excess return (₹24.2 billion at 31-Mar-26) rolled forward to 11-Nov (× 1.080), divided by shares
DCF-consistent minority interest in Bajaj Mobility AG	+₹15	25.1% × (6.8% × automotive EV − KTM debt) = ₹25.5 billion, compared with the ₹29.5 billion market-value deduction
Book-value minority interest	+₹57	₹29.5 billion market value less ₹13.9 billion book value, divided by shares
±2-point standalone material cost	±₹815	Twice the ±1-point model result
Net of method choices	≈ −₹400	Additive: −255 − 220 − 170 − 95 + 225 + 67 + 35 + 15